

Sales

Sales is the amount received or receivable from customers arising from the sales of goods and the provision of services by a company. A sale occurs when the ownership of goods and the consequent risk relating to these goods are passed to the customer in return for consideration, usually cash. In normal circumstances the physical possession of the goods is also transferred at the same time. A sale does not occur when a company places goods at the shop of a dealer with the clear understanding that payment need be made only after the goods are sold failing which they may be returned. In such a case, the ownership and risk are not transferred to the dealer nor any consideration paid.

Companies do give trade discounts and other incentive discounts to customers to entice them to buy their products. Sales should be accounted for after deducting these discounts. However, cash discounts given for early payment are a finance expense and should be shown as an expense and not deducted from sales.

There are many companies which deduct excise duty and other levies from sales. There are others who show this as an expense. It is preferable to deduct these from sales since the sales figure would then reflect the actual markup made by the company on its cost of production.